

Practical Round — Questions & Answer Key

Tax Consultant | Practical Round | 8 Scenarios

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Instructions: Each question presents a real-world tax scenario. Show full working, state applicable provisions/sections, and arrive at a clear numerical or reasoned conclusion.

Q1. GST — Output Tax Computation

SCENARIO

Ravi Traders, a GST-registered business in Maharashtra, made the following supplies during October 2024:

- Intra-state sales of taxable goods: Rs. 8,00,000 (GST rate 18%)
- Inter-state sales of taxable goods: Rs. 3,00,000 (GST rate 12%)
- Export of goods (zero-rated): Rs. 1,50,000
- Sale of exempt goods: Rs. 50,000

Calculate the total GST liability (CGST, SGST, IGST separately) for the month.

Question: What is the total GST output tax liability of Ravi Traders for October 2024? Show your working.

MODEL ANSWER

Step 1 – Intra-state supply (CGST + SGST):

Rs. 8,00,000 × 18% = Rs. 1,44,000 total GST

CGST = Rs. 72,000 | SGST = Rs. 72,000

Step 2 – Inter-state supply (IGST):

Rs. 3,00,000 × 12% = Rs. 36,000 IGST

Step 3 – Exports (Zero-rated, no output tax):

GST = Nil (eligible for LUT or refund of ITC)

Step 4 – Exempt supply:

GST = Nil

TOTAL OUTPUT TAX LIABILITY:

CGST = Rs. 72,000

SGST = Rs. 72,000

IGST = Rs. 36,000

Total = Rs. 1,80,000

Key Concept: Intra-state supplies attract equal CGST + SGST; inter-state supplies attract IGST. Exports are zero-rated — no output tax is charged.

Q2. TDS — Section 194C Contractor Payment

SCENARIO

ABC Pvt. Ltd. engages a contractor to renovate its office. The following payments are made in FY 2024-25:

- April: Rs. 28,000
- May: Rs. 35,000
- June: Rs. 22,000

The contractor is an individual and has not submitted a lower deduction certificate.

Question: Determine: (a) In which month TDS first becomes applicable under Section 194C, and (b) the total TDS to be deducted by June.

MODEL ANSWER

Section 194C thresholds:

- Single payment limit: Rs. 30,000
- Aggregate limit in FY: Rs. 1,00,000

TDS rate (individual): 1%

Month-wise analysis:

April: Rs. 28,000 – below Rs. 30,000, but aggregate = Rs. 28,000 !' No TDS

May: Rs. 35,000 – exceeds single-payment limit of Rs. 30,000

!' TDS applicable from May

Aggregate to date = Rs. 63,000

(a) TDS first becomes applicable in MAY (single payment exceeds Rs. 30,000).

(b) Once TDS is triggered, it applies on ALL previous payments from the start of FY:

Total of April + May = Rs. 63,000 × 1% = Rs. 630

June: Rs. 22,000 × 1% = Rs. 220

Total TDS deducted by end of June = Rs. 630 + Rs. 220 = Rs. 850

Key Concept: TDS under 194C triggers if a single payment exceeds Rs. 30,000 OR aggregate in the year exceeds Rs. 1,00,000. Once triggered, TDS is deducted on cumulative payments.

Q3. Income Tax — Taxable Income Computation

SCENARIO

Priya, a resident individual (age 32), has the following income for FY 2024-25:

- Gross salary: Rs. 9,60,000 | Standard deduction: Rs. 75,000
- Interest from savings bank: Rs. 18,000
- Rental income from let-out property: Rs. 1,80,000
(Municipal taxes paid: Rs. 12,000; home loan interest on this property: Rs. 95,000)

She opts for the OLD tax regime.

Question: Compute Priya's total taxable income under the old regime.

MODEL ANSWER

Head 1 – Income from Salary:

Gross Salary	Rs. 9,60,000
Less: Standard Deduction	Rs. 75,000
Net Salary Income	= Rs. 8,85,000

Head 2 – Income from House Property:

Gross Annual Value (GAV)	Rs. 1,80,000
Less: Municipal Tax	Rs. 12,000
Net Annual Value (NAV)	= Rs. 1,68,000
Less: 30% deduction u/s 24(a) on NAV	Rs. 50,400
Less: Interest on home loan u/s 24(b)	Rs. 95,000
Income from House Property	= Rs. 22,600

Head 3 – Income from Other Sources:

Savings bank interest	Rs. 18,000
Less: Deduction u/s 80TTA	Rs. 10,000
Taxable interest	= Rs. 8,000 !• (note: deduction applied at GTI stage)

Gross Total Income (GTI)	= Rs. 8,85,000 + Rs. 22,600 + Rs. 18,000
	= Rs. 9,25,600
Less: 80TTA deduction	Rs. 10,000
TOTAL TAXABLE INCOME	= Rs. 9,15,600

Key Concept: Under the old regime: standard deduction (Rs. 75,000), 30% flat deduction on NAV u/s 24(a), actual interest u/s 24(b), and 80TTA savings interest deduction (max Rs. 10,000) are all available.

Q4. Income Tax — LTCG on Listed Equity Shares

SCENARIO

Arjun purchased 500 shares of XYZ Ltd. on 1 August 2022 at Rs. 240 per share.
He sold all 500 shares on 15 October 2024 at Rs. 410 per share.
STT (Securities Transaction Tax) was paid on both purchase and sale.
Arjun has no other capital gains in FY 2024-25.

Question: Calculate (a) whether the gain is STCG or LTCG, (b) the capital gain amount, and (c) the tax payable on it.

MODEL ANSWER

(a) Holding period:

Purchase: 01-Aug-2022 | Sale: 15-Oct-2024
Holding = approx. 26 months !' exceeds 12 months
Classification: LONG-TERM CAPITAL GAIN (LTCG)

(b) Capital Gain:

Sale consideration: $500 \times \text{Rs. } 410 = \text{Rs. } 2,05,000$
Cost of acquisition: $500 \times \text{Rs. } 240 = \text{Rs. } 1,20,000$
LTCG = $\text{Rs. } 2,05,000 - \text{Rs. } 1,20,000 = \text{Rs. } 85,000$

Note: Indexation does NOT apply to listed equity shares.

(c) Tax on LTCG (Section 112A):

LTCG up to Rs. 1,00,000 per year is exempt.

Taxable LTCG = Rs. 85,000 " Rs. 85,000 = NIL

(entire gain falls within the Rs. 1 lakh exemption limit)

TAX PAYABLE = Rs. 0

Key Concept: LTCG on listed equity (STT paid) is taxed at 10% u/s 112A above Rs. 1,00,000 per year without indexation. If total LTCG is Rs. 1 lakh, no tax is payable.

Q5. GST — Input Tax Credit (ITC) Eligibility

SCENARIO

Kiran Enterprises (GST registered, engaged in taxable supply) incurred the following expenses in November 2024:

- A. Purchase of raw materials for manufacturing: Rs. 5,00,000 (GST 18%)
- B. Purchase of a car for the MD's personal use: Rs. 12,00,000 (GST 28%)
- C. Staff canteen food and refreshments: Rs. 80,000 (GST 5%)
- D. Purchase of office computers: Rs. 1,50,000 (GST 18%)
- E. Outdoor catering for a client event: Rs. 60,000 (GST 18%)

Question: Identify which items are eligible for ITC and compute the total admissible ITC.

MODEL ANSWER

ITC Eligibility Analysis:

- A. Raw materials – ELIGIBLE (used in making taxable supply)
 $\text{ITC} = \text{Rs. } 5,00,000 \times 18\% = \text{Rs. } 90,000$
- B. Car for MD's personal use – BLOCKED (Section 17(5))
Motor vehicles for personal use are explicitly blocked.
 $\text{ITC} = \text{Rs. } 0$
- C. Staff canteen food – BLOCKED (Section 17(5)(b))
Food and beverages for employees are blocked unless obligatory under any law.
 $\text{ITC} = \text{Rs. } 0$
- D. Office computers – ELIGIBLE (capital goods for business use)
 $\text{ITC} = \text{Rs. } 1,50,000 \times 18\% = \text{Rs. } 27,000$
- E. Outdoor catering – BLOCKED (Section 17(5)(b))
Outdoor catering is explicitly listed as a blocked credit.
 $\text{ITC} = \text{Rs. } 0$

TOTAL ADMISSIBLE ITC = Rs. 90,000 + Rs. 27,000 = Rs. 1,17,000

Key Concept: Section 17(5) of CGST Act lists 'blocked credits' — motor vehicles (personal use), food/beverages, outdoor catering, club memberships etc. are NOT eligible for ITC.

Q6. Income Tax — Advance Tax Calculation

SCENARIO

Sunita is a freelance tax consultant. Her estimated income for FY 2024-25 is:

- Professional fees: Rs. 14,00,000
- Short-term capital gains (equity): Rs. 80,000
- Savings bank interest: Rs. 12,000

Estimated deductions: 80C Rs. 1,50,000 | 80D Rs. 25,000 | 80TTA Rs. 10,000

She has no TDS deducted on her income. She opts for the OLD tax regime.

Question: Compute Sunita's advance tax liability and the amount due at each installment date.

MODEL ANSWER

Step 1 – Estimated Taxable Income:

Professional fees	Rs. 14,00,000	
STCG (equity, 15% flat)	Rs. 80,000	! • taxed separately
Savings interest	Rs. 12,000	
Gross Total Income	= Rs. 14,92,000	

Less deductions (on non-STCG income):

80C	Rs. 1,50,000	
80D	Rs. 25,000	
80TTA	Rs. 10,000	
Total deductions	= Rs. 1,85,000	

Normal taxable income	= Rs. 14,92,000 " Rs. 80,000 " Rs. 1,85,000
	= Rs. 12,27,000 (excluding STCG)

Step 2 – Tax on Normal Income (Old regime, below 60):

Up to Rs. 2,50,000	Nil	
Rs. 2,50,001–5,00,000	Rs. 12,500	(5%)
Rs. 5,00,001–10,00,000	Rs. 1,00,000	(20%)
Rs. 10,00,001–12,27,000	Rs. 68,100	(30%)
Tax on normal income	= Rs. 1,80,600	
Tax on STCG (15%)	= Rs. 12,000	
Total tax before cess	= Rs. 1,92,600	
Add: Health & Ed. cess 4%	= Rs. 7,704	
TOTAL TAX LIABILITY	= Rs. 2,00,304	

Step 3 – Advance Tax Installments (since tax > Rs. 10,000):

15 June	(15%)	= Rs. 30,046	
15 Sept	(45%)	= Rs. 90,137	cumulative !' pay Rs. 60,091 this date
15 Dec	(75%)	= Rs. 1,50,228	cumulative !' pay Rs. 60,091 this date
15 March	(100%)	= Rs. 2,00,304	cumulative !' pay Rs. 50,076 this date

Key Concept: Advance tax is required when total tax liability exceeds Rs. 10,000. Installments: 15% by 15 June, 45% by 15 Sept, 75% by 15 Dec, 100% by 15 March. STCG on equity is taxed at flat 15% u/s 111A.

Q7. Income Tax — Deductions Under Chapter VI-A

SCENARIO

Vikram (age 45, salaried) has a Gross Total Income of Rs. 12,50,000 for FY 2024-25.

He made the following investments / payments in FY 2024-25:

- PPF deposit: Rs. 1,20,000
- ELSS mutual fund: Rs. 60,000
- Life insurance premium: Rs. 30,000
- Health insurance for self & family: Rs. 28,000
- Health insurance for dependent parents (age 68): Rs. 52,000
- Interest paid on education loan (Section 80E): Rs. 75,000

He opts for the OLD tax regime.

Question: Calculate the total deductions available and Vikram's net taxable income.

MODEL ANSWER

Section 80C (overall cap: Rs. 1,50,000):	
PPF	Rs. 1,20,000
ELSS	Rs. 60,000
LIC premium	Rs. 30,000
Total investments	= Rs. 2,10,000
Allowed (capped at)	= Rs. 1,50,000
Section 80D (Health Insurance):	
Self & family (below 60): Rs. 28,000 – limit Rs. 25,000	
! ' allowed Rs. 25,000	
Parents (senior citizens): Rs. 52,000 – limit Rs. 50,000	
! ' allowed Rs. 50,000	
Total 80D deduction	= Rs. 75,000
Section 80E (Education Loan Interest):	
Entire interest amount is deductible – no upper limit	
Allowed	= Rs. 75,000
TOTAL DEDUCTIONS:	
80C	Rs. 1,50,000
80D	Rs. 75,000
80E	Rs. 75,000
% % % % % % % % % % % % % %	
Rs. 3,00,000	
NET TAXABLE INCOME:	
Rs. 12,50,000 " Rs. 3,00,000 = Rs. 9,50,000	

Key Concept: 80C cap is Rs. 1,50,000 regardless of actual investment. 80D limit for senior-citizen parents is Rs. 50,000. 80E has no maximum limit — full interest on education loan is deductible.

Q8. GST — GSTR-1 vs GSTR-3B Reconciliation

SCENARIO

During the GST audit of Mehta & Co. for FY 2023-24, the following mismatch is found:	
As per GSTR-1 (outward supply data):	
Taxable value: Rs. 45,00,000 Tax: Rs. 8,10,000 (18%)	
As per GSTR-3B (self-assessed return):	
Taxable value: Rs. 42,00,000 Tax: Rs. 7,56,000 (18%)	
On investigation it was found:	
(i) Two invoices of Rs. 2,00,000 each were raised in March 2024 but not reported in GSTR-3B for that month.	
(ii) One credit note of Rs. 1,00,000 was correctly reported in GSTR-1 but the tax reduction was double-counted in GSTR-3B.	

Question: Identify the nature of each discrepancy, compute the tax shortfall/excess, and state the corrective action required.

MODEL ANSWER

Discrepancy Analysis:

- (i) Invoices of Rs. 2,00,000 × 2 = Rs. 4,00,000 not reported in GSTR-3B:
Tax impact: Rs. 4,00,000 × 18% = Rs. 72,000 under-reported in GSTR-3B.
Nature: Genuine short-payment of tax.
Action: Pay the differential tax of Rs. 72,000 along with interest u/s 50 @ 18% p.a. from due date to actual payment.
Disclose in GSTR-3B of subsequent period (DRC-03 if required).
- (ii) Credit note of Rs. 1,00,000 – tax reduction double-counted in GSTR-3B:
Correct tax reduction on credit note: Rs. 1,00,000 × 18% = Rs. 18,000
If double-counted: Rs. 36,000 was reduced instead of Rs. 18,000
Excess ITC/reduction claimed: Rs. 18,000
Nature: Incorrect/inflated tax credit/reduction.
Action: Reverse the excess reduction of Rs. 18,000 with interest.

Summary:

Total tax shortfall (item i)	Rs. 72,000
Excess reduction to be reversed (ii)	Rs. 18,000
Net additional tax + interest payable	Rs. 90,000 + applicable interest

Reconciliation Lesson:

GSTR-3B must reflect same taxable value and tax as GSTR-1.
Differences invite scrutiny notice under Section 61 of the CGST Act.

Key Concept: GSTR-1 vs GSTR-3B mismatches are flagged automatically by the GST portal. Tax shortfalls attract interest @ 18% p.a. Excess ITC reversal also attracts interest @ 24% p.a. u/s 50(3).
